Regardless, for fairly extended periods of time, Niederhoffer definitely appeared to be an expert; he generated high returns, seemingly without excessive downside risk. But did he eliminate the possibility of extreme downside outcomes? No. This was emphatically not the case, as he empirically demonstrated his ability to be steamrolled, not once, but twice.

Some might argue that if Niederhoffer told investors, "You may lose all your money pursuing this strategy, but it will give you high returns," then they were not really relying on his expertise to protect them from bankruptcy. But perhaps this is beside the point. If you are aware of a strategy that compounds at 30 percent, but you know that every few years there will be a year when you lose all of your money, then that is not a strategy worth pursuing. Any expert who recommends such a strategy should not be considered an expert in financial matters.

Of course, there is an alternative explanation here. Maybe Niederhoffer wasn't an expert at all. Maybe Niederhoffer just chose risky strategies that made him look like a genius while they were working, but when he blew up, he demonstrated that he wasn't doing anything special at all. The emperor was revealed to have no clothes. All the fancy academic pedigrees, the studies and papers, the published book, the high returns—in short, all the things that made Niederhoffer an "expert," were perhaps really just an illusion. Perhaps there really was no "expertise" involved, whatsoever. Certainly, after several bankruptcies, that conclusion seems reasonable.

Of course, this story is not meant to pick on Niederhoffer. Like all experts, Niederhoffer is only human. But as we will highlight over the next few chapters, humans are systematically flawed. And so if humans are systematically flawed, why do we still rely on experts for all of our most important decisions?

Why Do We Rely on Experts?

> *"If you do fundamental trading, one morning you feel like a genius, the next day you feel like an idiot…by 1998 I decided we would go 100% models…we slavishly follow the model. You do whatever it [the model] says no matter how smart or dumb you think it is. And that turned out to be a wonderful business."*